



Income & Expenses:

Family Budget Story

Learning How Families Earn, Spend, and Save Money

Grade 3 Social Studies · Financial Literacy

■ Learning Objectives

By the end of this lesson, students will be able to: **define income and expenses**, distinguish between **needs and wants**, explain what a **family budget** is, and describe how **saving** helps families plan for the future.

■ **Subject: Social Studies**

■ **Grade: 3**

■ **Duration: 45 min**

■ Section 1: What Is Income?

Key Concept

Income is the money a family earns to buy things they need. When parents go to work, they receive money called income. This money helps the family pay for food, clothes, and school!

Where Does Income Come From?

- **Salary from Work** Parents go to their jobs every day and earn a salary — the most common way families get income.
- **Home Business** Some parents run small businesses from home, like tailoring, cooking, or selling goods.
- **Gifts & Allowances** Children may receive money as gifts from grandparents or as pocket money for helping at home.

■ Section 2: What Are Expenses?

Key Concept

Expenses are the money spent to buy things we need or want. For example: paying for food, school fees, clothes, and fun activities like going to the park!

Needs vs. Wants

■ Needs

- Food to eat every day
- A home to live in
- School supplies for learning
- Clothes to wear

■ Wants

- Toys and games
- Sweets and treats
- Fun outings and trips
- Extra things we enjoy

■■■■■■■ Section 3: Meet the Sharma Family

The Sharma family lives in a cozy home in India. Dad, Mom, and their two children work together to manage their family budget wisely. Let's follow their journey!

Sharma Family Income

Income Source	Who	Details
Salary	Dad	Works at a local shop; main family income
Tailoring Business	Mom	Stitches clothes for neighbours from home
Allowance	Priya (sister)	Earns money helping neighbours with small tasks

Sharma Family Expenses

Expense	What It Covers
Food	Rice, vegetables, dal for the whole family
Education	School fees and supplies for the children
Utilities	Electricity and water bills
Outings	Occasional park visits and ice cream together

■ Section 4: What Is a Budget?

Key Concept

A **budget** helps families plan how to spend their income. Think of it like making a plan for your pocket money — you decide what to buy first and what to save for later!

	Action	Why It Matters
Step 1	Know what money is coming in	List all income sources
Step 2	List all expenses	Needs first, then wants
Step 3	Compare income vs expenses	Make sure spending $\leq$ income
Step 4	Save a little each month	For emergencies and goals

The Sharma Family Budget — Before vs. After

■ Before Budget

The Sharma family spent money without planning. Sometimes they ran out of money before the month ended. No savings for surprises!

■ After Budget

Now they plan their spending carefully. They pay for needs first, then wants. They save a little each month for emergencies!

■ Section 5: Why Is Saving Important?

Saving money helps families be ready for surprises! When we save a little bit of our money, we can use it later for special things like a new school bag or unexpected emergencies.

How Kids Can Help With the Family Budget

- Save part of your allowance in a piggy bank — even small amounts add up over time!
- Help make a shopping list before going to the store.
- Turn off lights and fans when leaving a room to save electricity.
- Share toys with siblings or friends instead of buying new ones often.

⇒ ■ Section 6: Class Activity

Make Your Own Mini Family Budget! Imagine your family earns ■5,000 this month. Decide how to divide it between needs, wants, and savings. Fill in the table below.

Category	Amount (■)	What will you spend it on?
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Needs (food, school, home)		
Wants (toys, outings, treats)		
Savings (piggy bank)		

■ Tip: Your totals should not exceed ■5,000. Try to save at least ■500!

■ Section 7: Check for Understanding

1. What is income? Give one example of how a family can earn income.

2. What is the difference between a need and a want? Give one example of each.

3. Why is it important for a family to make a budget?

4. Name TWO ways that children can help their family save money.

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5. The Sharma family earns ₹6,000 per month but spends ₹7,000. Is this a problem? Why?
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■ Lesson Recap

Income	Money earned by the family from jobs, businesses, or gifts.
Expenses	Money spent on needs (food, school) and wants (toys, trips).
Budget	A plan for how to use income wisely each month.
Saving	Keeping some money aside for emergencies and future goals.
Team Work	Everyone in the family can help manage money together.

Great job learning about family budgets! ■ Share your budget plan with your family tonight and find out how *your* family earns, spends, and saves money.